



up to 700,000 to 800,000 pieces per month, and potentially even up to one million pieces per month.

How are you funding the ₹10 billion investment?

Approximately 40% of the committed investment has already been utilised, and the remaining six billion will be allocated over the next three years in six-month phases. Our current funding sources primarily come from the company's internal funds, and we have a substantial reserve for this purpose. Additionally, we are securing corporate loans and exploring debt financing options with our machine suppliers to support our funding needs.

What ROI do you expect from the ₹10 billion investment?

We anticipate recouping our investments within a three-year timeframe. It's a high turnover segment focusing specifically on LED TVs, but profit margins are relatively low due to its commodity-like nature. Like other manufacturing, where profit margins are limited, LED TVs yield approximately 4% net profit in the market. However, our strategy involves diversifying into different product lines, including washing machines, commercial displays, and multimedia speakers. We aim to achieve substantially higher net profits with these products than the LED TV segment.

What motivated you to invest this amount?

In the current period, India is emerging as the next manufacturing hub, poised to drive economic growth for the next decade. This is happening when the global economy is grappling with recessions and de-dollarisation's effects. Even China, a dominant player, is experiencing these effects. As a result, there is limited scope for further expansion in

China. Now, virtually every company worldwide is looking towards India for the next five to ten years due to its immense potential and anticipated growth. Given these circumstances, we believe this is the opportune moment to invest in core manufacturing and establish mega factories in India. India is poised to become the next major supplier to the global market, and these factors have shaped our decision-making process.

Can you outline your strategy for investment in the next few years, focusing on R&D, machinery, and other expenses?

Our investment strategy involves breaking it down into six equal phases over three years, totalling ₹1 billion every six months. These funds will be primarily allocated to R&D and expanding our production capacity. We intend to continually increase and enhance our manufacturing capabilities while investing in research and development. Additionally, we plan to venture into backward integration. Open cell manufacturing is not present in India and involves five distinct processes. We aim to engage in some of these processes gradually. Manufacturing a complete open cell requires substantial investments, with each process demanding a substantial budget, ranging from ₹2 billion to ₹200 billion. To align with these plans, we also intend to take advantage of government initiatives, such as reduced duties on open cell manufacturing in India. Our next step will be to explore the bonding of open cell components in India.

Can you provide details about the tax incentives, subsidies, and government support that your new manufacturing facility is benefiting from?

We have two types of policies to consider: state-level policies and

central government policies. At the state level, we have chosen Uttar Pradesh (UP) because it offers favourable electronics manufacturing policies, given that the entire electronics industry ecosystem is well-established and accessible in Noida. In UP, we benefit from the government's capital and interest subsidies. On the central government front, we are engaging in MOOWR (manufacturing and other operations in warehouse), a well-structured initiative to promote the 'Make in India' campaign. This scheme is particularly advantageous for export-oriented ventures, as it offers significant benefits, including deferred duties and various taxes, such as GST when importing raw materials from around the world and subsequently exporting products. The MOOWR aligns well with our objectives, and we are actively pursuing it. These are the key policies that are currently relevant to our plans.

Are you seeking external investors or partnerships to support the ₹10 billion investment?

Our objective is to take the company public by 2025 or 2026. We are not pursuing private equity investments because our current financial requirements have been adequately addressed. We don't want to dilute our equity at the current valuation, especially considering the turnover we have achieved. However, I am confident that our valuation will significantly increase once we reach our initial turnover targets within the next one or two years. If we find a strategic partner who can contribute to our industry growth, distribution, supply chain, procurement, or manufacturing capabilities, we would prefer such a partner over a purely financial one. After 2025 or 2026, we plan to explore private equity options as part of our expansion strategy, but not before that. **EFY**